Failed UPI merchant payments — customer reversal timeline

SYNTHETIC DEMO CIRCULAR. This is not an official RBI publication. Names, clause numbers and dates are invented for the Niyam prototype.

1. Purpose

This note is a dummy circular so you can press Add a circular in Niyam without using a real regulator PDF.

2. Obligation

Where a UPI merchant payment fails and the customer's account is debited, the payment system provider shall ensure auto-reversal to the customer within T+5 days (five calendar days from the date of the transaction).

A merchant, aggregator or payment gateway shall not advertise a longer reversal timeline in a proposal, brochure, order form or agreement.

3. What not to say

Phrases such as "refund in 7 working days", "refund in 10 days", or "we will try to reverse the amount shortly" do not meet this obligation.

4. Effective

Treat this text as effective from 15 September 2025 for the demo only.

Issued for the Niyam prototype. Decision support, not legal advice.